

Can Prestige Beauty Diversify Suppliers Without Losing Margin?

Shari Nishida | Correlation One Data Analytics Program

BACKGROUND & PROBLEM

Prestige beauty runs on 70–80% gross margins, protected by concentrated, single-source suppliers. That concentration, not the tariffs themselves, is the real problem now threatening margin.

DATA

Three data sources, connected by product category:



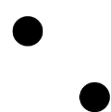
Sourcing

100 products



Sephora

1.09M reviews



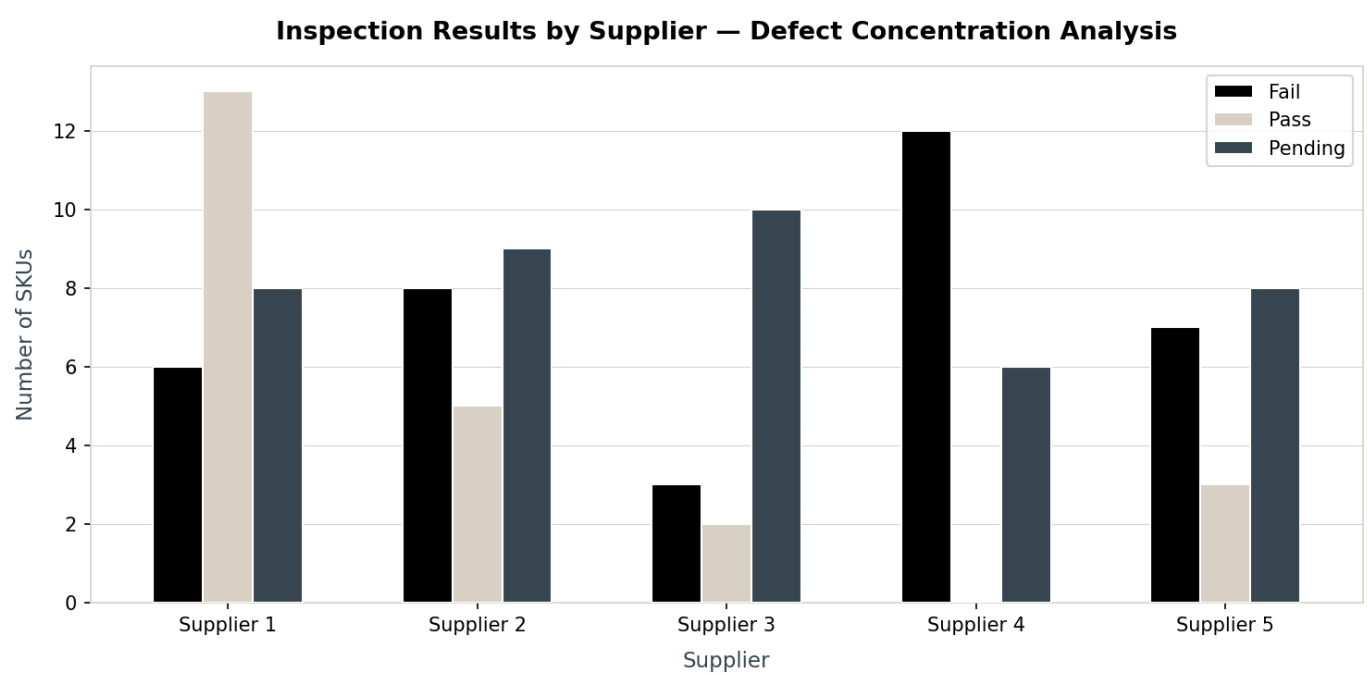
Trade Rules

US + EU tariffs

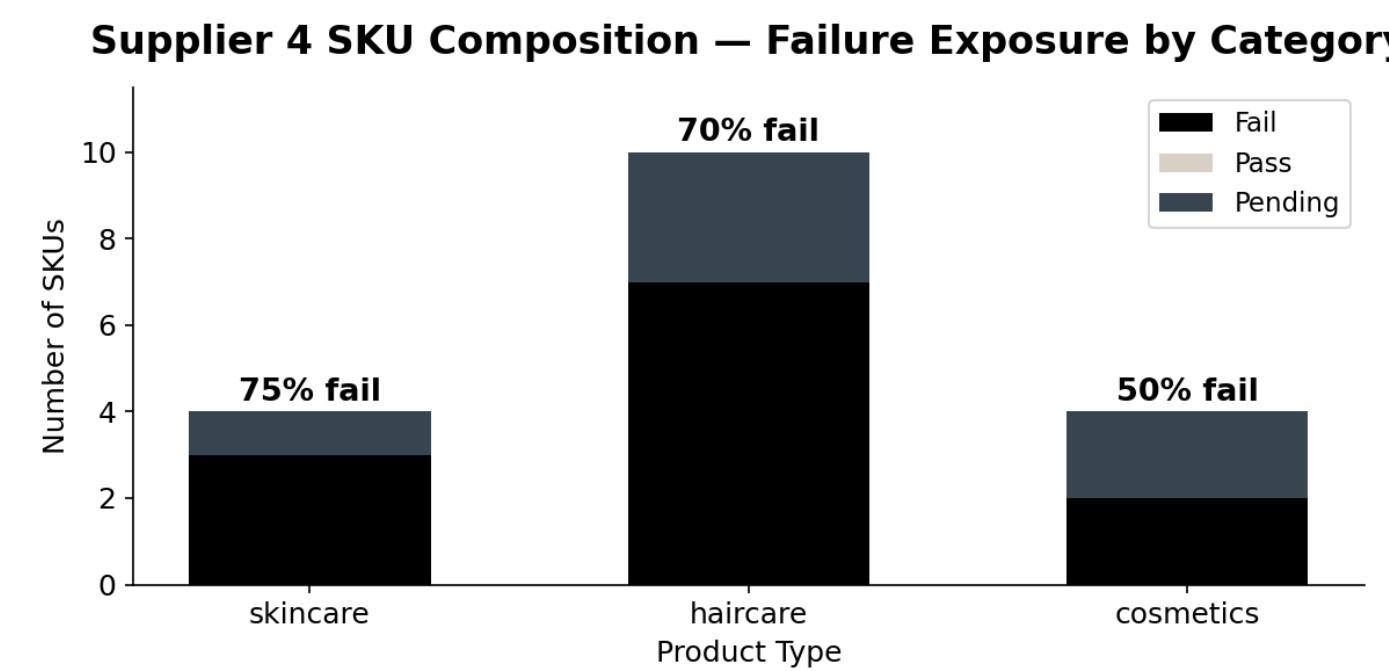
ENTERPRISE DATA MODEL

Each product category carries a tariff exposure score. Cosmetics carries 25%, skincare carries 10%, and haircare carries 0%. This score is applied to production cost, showing exactly where 2026 tariffs hit margin hardest and which categories to move first.

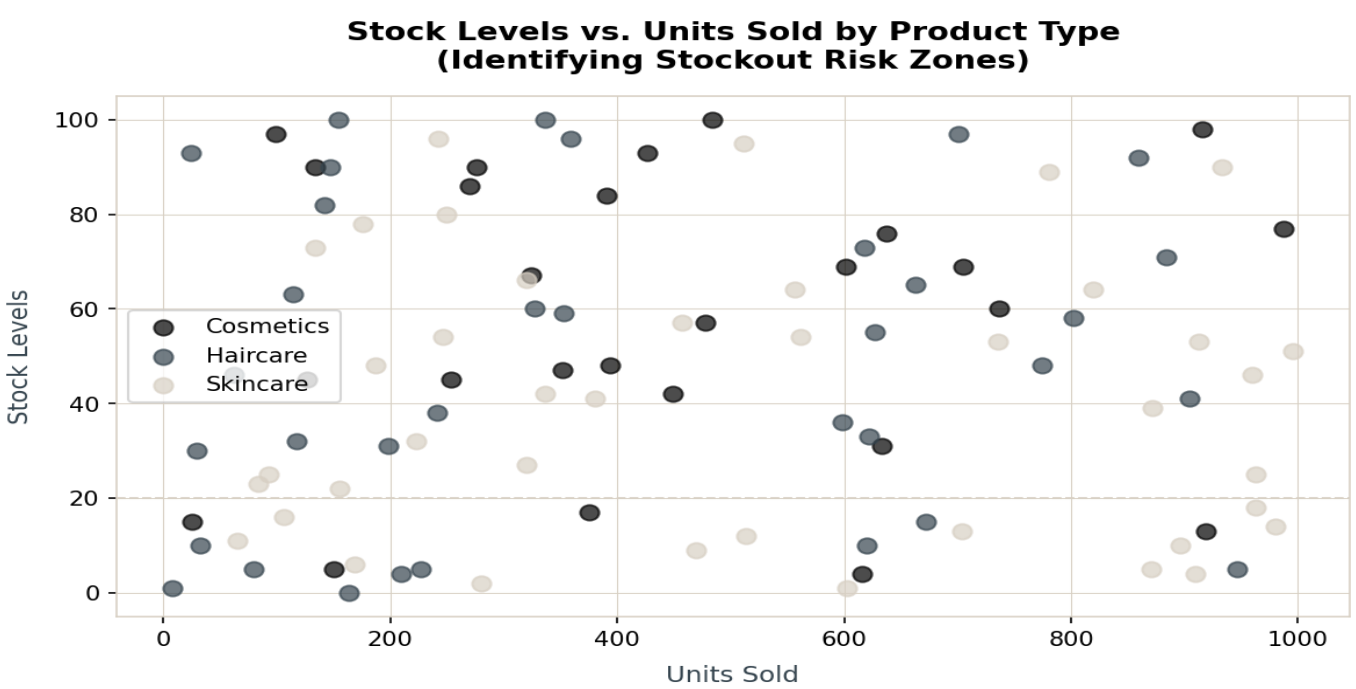
PORTFOLIO DIAGNOSTICS & RESULTS



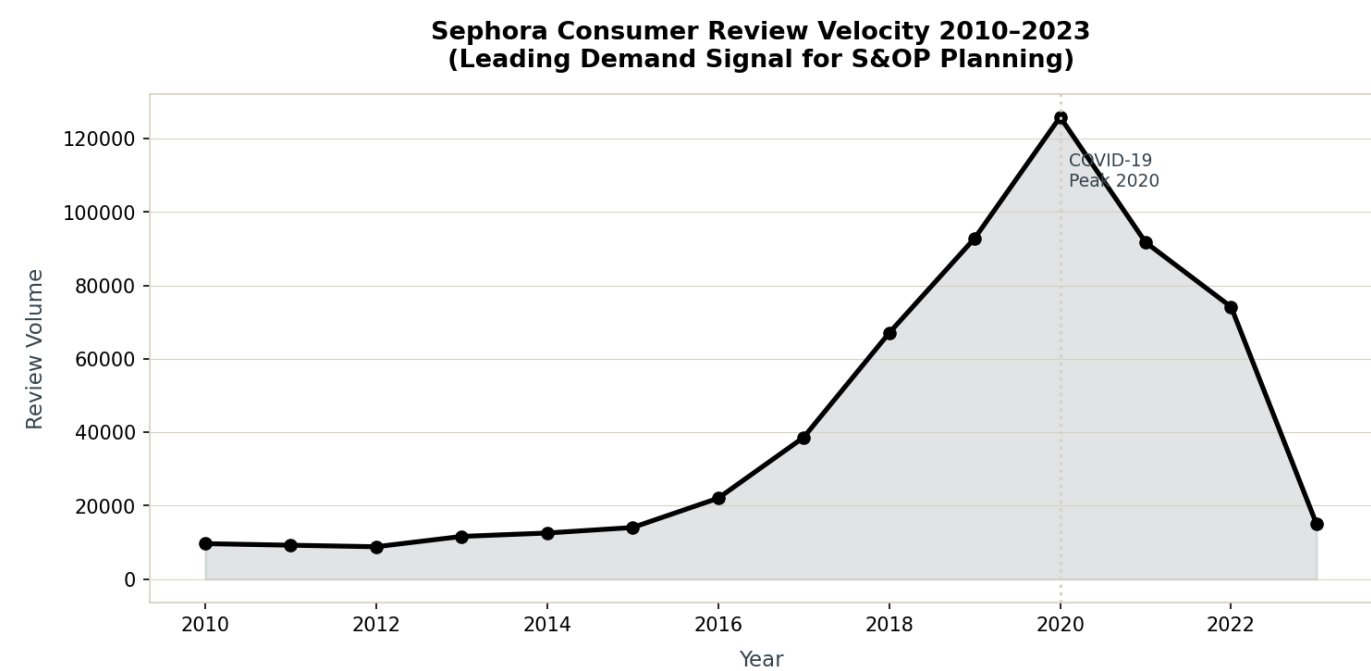
Supplier 4 fails 2 in 3 quality checks: the clear priority for dual-sourcing.



Follow-up: skincare & haircare fail most in Supplier 4: 75% and 70%.



Skincare sells fastest and stocks the thinnest. It is the category most exposed to running out.



Customer reviews surged 6.5x by 2020: a reliable early-warning signal for demand.

HIGHLIGHTS

66.7%

Supplier 4 Failure Rate

Top priority for dual-sourcing

75% / 70%

Skincare & Haircare

Highest failure rates within Supplier 4

Skincare

Highest-Priority Category

Tightest stock, most stockouts, top rating

STRATEGIC NUANCE

This sample (100 products, ~98% margins) illustrates method, not statistical forecast. At 70–80% margins, tariff gaps compound into material cost impact.

Quality and tariff risk are separate problems: haircare has no tariff exposure but the highest defect rate (2.48%).

From 2015 to 2020, review growth peaked at the price extremes: under-\$25 lines grew 14.0x and luxury \$200+ items grew 14.3x, outperforming the mid-tier's 7–11x growth.

Review growth by price tier reflects skincare products only, as the Sephora reviews dataset covers skincare exclusively.

Supplier concentration, not tariffs, is the biggest margin threat. Dual-source Supplier 4 first, then use skincare's demand signal to recalibrate safety stock.